

Corporate profitability tends to be misunderstood by many in our society. In a survey I once saw, college students and other young adults were asked to guess the average profit margin on the corporate dollar. Most guessed 20–40 percent. In the last few decades the actual answer has been closer to 5 percent.

Profit before taxes, also known as the pretax profit margin, is a tool I use in analyzing companies. That's what's left of a company's annual sales dollar after all the costs, including depreciation and interest expenses, have been deducted. In 1987, Ford Motor had sales of \$71.6 billion and earned \$7.38 billion pretax, for a pretax profit margin of 10.3 percent. Retailers have lower profit margins than manufacturers—an outstanding supermarket and drugstore chain such as Albertson's still earns only 3.6 percent pretax. On the other hand, companies that make highly profitable drugs, such as Merck, routinely make 25 percent pretax or better.

There's not much to be gained in comparing pretax profit margins across industries, since the generic numbers vary so widely. Where it comes in handy is in comparing companies within the same industry. The company with the highest profit margin is by definition the lowest-cost operator, and the low-cost operator has a better chance of surviving if business conditions deteriorate.

Let's say that Company A earns 12 percent pretax and Company B earns only 2 percent. Suppose there's a business slowdown and both companies are forced to slash prices 10 percent to sell their merchandise. Sales drop by the same 10 percent. Company A is now earning 2 percent pretax and is still profitable, while Company B has fallen into the red with an 8 percent loss. It's headed for the endangered species list.

Without getting bogged down in the technicalities, pretax profit margin is one more factor to consider in evaluating a company's staying power in hard times.

This gets very tricky, because on the upswing, as business improves, the companies with the lowest profit margins are the biggest beneficiaries. Consider what happens to \$100 in sales to our two companies in these two hypothetical situations: